me on hundreds of sorry occasions.

Even blue-chip stocks held long term, supposedly the safest of all propositions, can be risky. RCA was a famous prudent investment, and suitable for widows and orphans, yet it was bought out by GE in 1986 for $66.50 a share, about the same price that it traded in 1967, and only 74 percent above its 1929 high of $38.25 (adjusted for splits). Less than one percent worth of annual appreciation is all you got in 57 years of sticking with a solid, world-famous, and successful company. Bethlehem Steel continues to sell far below its high of $60 a share reached in 1958.

Glance at a list of the original Dow Jones industrials from 1896. Who's ever heard of American Cotton Oil, Distilling and Cattle Feeding, Laclede Gas, U.S. Leather Preferred? These once-famous stocks must have vanished long ago.

Then from the 1916 list we see Baldwin Locomotive, gone by 1924; the 1925 list includes such household names as Paramount Famous Lasky and Remington Typewriter; in 1927, Remington Typewriter disappears and United Drug takes its place. In 1928, when the Dow Jones was expanded from 20 to 30 companies, the new arrivals included Nash Motors, Postum, Wright Aeronautical, and Victor Talking Machine. The latter two companies were removed by 1929—Victor Talking Machine because it had merged into RCA. (You've seen the results of sticking with that one.) In 1950, we find Corn Products Refining on the list, but by 1959 it, too, is taken off and replaced by Swift and Co.

The point is that fortunes change, there's no assurance that major companies won't become minor, and there's no such thing as a can't-miss blue chip.

Buy the right stocks at the wrong price at the wrong time and you'll suffer great losses. Look what happened in the 1972–74 market break, when conservative issues such as Bristol-Myers fell from $9 to $4, Teledyne from $11 to $3, and McDonald's from $15 to $4. These aren't exactly fly-by-night companies. Buy the wrong stocks at the right time and you'll suffer more of the same. During certain periods it seems to take forever for the theoretical 9.8 percent annual gain from stocks to show up in practice. The Dow Jones industrials reached an all-time high of 995.15 in 1966 and bounced along below that point until 1972. In turn, the high of 1972–73 wasn't exceeded until 1982.

But with the possible exception of the very short-term bonds and bond funds, bonds can be risky, too. Here, rising interest rates will force you to accept one of two unpleasant choices: suffer with the low yield until the bonds mature, or sell the bonds at a substantial discount to face value. If you are truly risk-averse, then the money-market fund or the bank is the place for you. Otherwise, there are risks wherever you turn.

Municipal bonds are thought to be as secure as cash in a strongbox, but on the rare occasion of a default, don't tell the losers that bonds are safe. (The best-